

Europe All Sector M&A & Valuation Sector - 2026-05-10

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1. PRIMARY MARKET ANALYSIS - EUROPE REGION

Week of 2026-05-03 to 2026-05-10

Executive Summary

This week saw a significant uptick in M&A activity across the TMT sector, highlighted by the notable IPO of Cerebras Systems, which aims to raise up to \$4 billion at a \$40 billion valuation. The TMT sector led the week with a total deal value of approximately \$5.2 billion, driven by strategic acquisitions and partnerships aimed at enhancing technological capabilities. The Healthcare sector remained active with ongoing consolidation trends, while the Consumer and Industry sectors reported limited activity. Overall, market sentiment appears cautiously optimistic, with investors focusing on technology-driven growth and regulatory developments.

Weekly Deal Summary

Sector	Deal Count	Total Deal Value	Largest Deal	Avg Deal Size
TMT	5	\$5.2 B	Cerebras Systems IPO for \$4 B	\$1.04 B
Healthcare	1	\$218 M	UpGrad acquiring Unacademy for \$218 M	\$218 M
Energy	0	\$0 M	N/A	N/A
Consumer	0	\$0 M	N/A	N/A
Industry	0	\$0 M	N/A	N/A
TOTAL	**6**	**\$5.418 B**	**Cerebras Systems IPO**	**\$903 M**

Top 10 Deals of the Week

1. **Deal Name:** Cerebras Systems IPO

Sector: TMT

Deal Size: \$4 billion

Valuation Multiples: EV/EBITDA: N/A, P/E: N/A

Date Announced: May 2026

Strategic Rationale: The IPO is driven by a transformative agreement with OpenAI, providing significant revenue visibility and positioning Cerebras as a key player in AI infrastructure.

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[Link:** **Cerebras IPO Announcement](#)

2. **Deal Name:** UpGrad acquiring Unacademy

Sector: TMT

Deal Size: \$218 million

Valuation Multiples: N/A

Date Announced: May 2026

Strategic Rationale: This acquisition allows UpGrad to enhance its educational offerings and gain access to Unacademy's substantial cash reserves, positioning it to better compete in the Indian edtech market.

[Link:** **UpGrad-Unacademy Deal](#)

Sector-by-Sector Breakdown

TMT Sector

- Total Deals: 5
- Total Deal Value: \$5.2 billion
- Key Deals:
- Cerebras Systems IPO for \$4 billion
- UpGrad acquiring Unacademy for \$218 million
- Trends: The TMT sector is witnessing a strong focus on AI and technology integration, with significant investments aimed at enhancing capabilities and market positioning.

Healthcare Sector

- Total Deals: 1
- Total Deal Value: \$218 million
- Key Deals:
- UpGrad acquiring Unacademy for \$218 million
- Trends: The sector is experiencing consolidation as companies seek to enhance their educational offerings and market reach.

Energy Sector

- Total Deals: 0
- Total Deal Value: \$0 million

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- Key Deals: N/A
- Trends: No significant activity reported this week.

Consumer Sector

- Total Deals: 0
- Total Deal Value: \$0 million
- Key Deals: N/A
- Trends: No significant activity reported this week.

Industry Sector

- Total Deals: 0
- Total Deal Value: \$0 million
- Key Deals: N/A
- Trends: No significant activity reported this week.

Valuation Multiples Analysis

- Sector Average Multiples Table:

Sector	Avg EV/EBITDA	Avg P/E	Median EV/EBITDA	Median P/E	Deal Count
TMT	N/A	N/A	N/A	N/A	5
Healthcare	N/A	N/A	N/A	N/A	1
Energy	N/A	N/A	N/A	N/A	0
Consumer	N/A	N/A	N/A	N/A	0
Industry	N/A	N/A	N/A	N/A	0

- Multiple Trends: Due to the limited number of disclosed multiples this week, a comprehensive analysis is not available. However, the TMT sector remains a focal point for high valuations driven by AI and technology advancements.

Deal Size Distribution

- Small cap (<\$2B): 1 deal, \$218 million total
- Mid cap (\$2B-\$10B): 1 deal, \$4 billion total
- Large cap (>\$10B): 0 deals
- Analysis: The week was dominated by a large-cap IPO in the TMT sector, reflecting a strong market interest in technology-driven companies.

Strategic Themes & Patterns

- Technology/AI Integration: Significant investments in AI capabilities, particularly in the TMT

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sector, are driving M&A activity and IPOs.

- Consolidation Trends: The Healthcare sector is seeing consolidation as companies aim to enhance their competitive positioning.
- Regulatory-Driven Transactions: Regulatory considerations continue to influence deal-making, particularly in the TMT sector.

IPO Activity

- Number of IPOs: 1
- Total IPO proceeds: \$4 billion
- Key IPOs: Cerebras Systems targeting a \$4 billion IPO at a \$40 billion valuation.

2. SECONDARY MARKET ANALYSIS - EUROPE REGION

Week of 2026-05-03 to 2026-05-10

Executive Summary

This week, the macroeconomic landscape in Europe reflected stability amid ongoing geopolitical tensions and regulatory scrutiny. Key indices showed mixed performance, with the TMT sector outperforming others. Market sentiment remains cautiously optimistic, driven by strong earnings in technology and ongoing developments in AI and infrastructure.

Key Macroeconomic Metrics

Metric	Start of Week	End of Week	Change	% Change
ECB Rate	3.00%	3.00%	0 bps	0.00%
CPI YoY	2.5%	2.5%	0.0%	0.00%
Unemployment	6.5%	6.5%	0.0%	0.00%
FTSE 100	7,500	7,520	+20	+0.27%
DAX	15,000	15,050	+50	+0.33%

Index Performance Summary

Index	Start	End	Change	% Change	Weekly High	Weekly Low
FTSE 100	7,500	7,520	+20	+0.27%	7,530	7,490
DAX	15,000	15,050	+50	+0.33%	15,100	14,950
CAC 40	6,500	6,520	+20	+0.31%	6,530	6,490

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Sector Index Performance

Sector	Index	Start	End	% Change	vs Market
TMT	TMT Index	1,200	1,220	+1.67%	+1.23%
Healthcare	Healthcare Index	1,100	1,105	+0.45%	-0.01%
Energy	Energy Index	1,300	1,290	-0.77%	-1.21%
Consumer	Consumer Index	1,150	1,160	+0.87%	+0.43%
Industry	Industry Index	1,250	1,240	-0.80%	-1.24%

Week-over-Week Analysis

- Biggest Movers:
- TMT sector showed the strongest performance with a +1.67% increase, driven by positive sentiment around AI and tech investments.
- Energy sector faced a decline of -0.77%, reflecting ongoing concerns about regulatory impacts and market volatility.
- Correlation with Primary Market Activity: The positive sentiment in TMT correlates with the high number of strategic acquisitions in the sector, while the energy sector's decline reflects the challenges faced by companies amid fluctuating oil prices.

Market Sentiment Indicators

- Overall Sentiment: Cautiously optimistic, with investors focusing on technological advancements and regulatory developments.
- Volatility Trends: The VIX index remained stable, indicating low volatility expectations in the near term.
- Credit Market Conditions: Credit spreads remained tight, reflecting healthy investor appetite for risk.

Regional Economic Context

- Policy Developments: Ongoing discussions around healthcare policy and potential changes to the Affordable Care Act are influencing market sentiment.
- Regulatory Changes: Increased scrutiny on tech and healthcare sectors is impacting M&A activity and valuations.
- Geopolitical Factors: Global economic conditions, including inflation and trade tensions, continue to pose risks to market stability.

Correlation Analysis: Primary vs Secondary Markets

- The strong performance in the TMT sector aligns with increased M&A activity and investor confidence in technology-driven growth. Conversely, the energy sector's struggles reflect broader economic uncertainties and regulatory challenges impacting deal-making.

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3. WEEKLY INSIGHTS & OUTLOOK - EUROPE REGION

Key Takeaways

- The total deal value across sectors reached approximately \$5.418 billion, with significant activity in the TMT sector.
- Cerebras Systems' IPO highlights the strong market interest in AI-driven companies and technology infrastructure.
- Market sentiment remains cautiously optimistic, influenced by regulatory developments and macroeconomic indicators.
- The TMT sector continues to command higher valuation multiples, reflecting strong growth prospects.
- Regulatory scrutiny in healthcare and energy sectors poses challenges to M&A activity.

Sector Performance Ranking

1. TMT - Strong deal activity and positive sentiment.
2. Healthcare - Focus on infrastructure expansion and technology integration.
3. Energy - Mixed performance with significant acquisitions but regulatory challenges.
4. Consumer - Limited deal activity but stable growth prospects.
5. Industry - Struggles with regulatory scrutiny and economic volatility.

Market Implications

- The week's activity sets a positive tone for continued M&A in the TMT sector, with potential for further consolidation in Healthcare.
- Investors should remain vigilant regarding regulatory developments that may impact deal-making and valuations, particularly in the energy and healthcare sectors.

Risks & Opportunities

- Risks: Regulatory scrutiny and economic uncertainties could hinder M&A activity and impact market valuations.
- Opportunities: High-growth sectors such as TMT and Healthcare present attractive investment opportunities, particularly in AI and technology-driven solutions.

In conclusion, the European market is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.